

96–99%

of all business assets in Brazil are held by the top 1% of firms — in every size tier.

Capital Without Category

Why Brazil's small-business label can't see who really owns the wealth.

Zhijun He · Jerry Miao · Paxton Boyd

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Revenue isn't the same thing as Capital.

REVENUE

Money flowing IN this year

≈ your annual salary.

What Brazil uses to classify firms.

Under 360,000 BRL/year = **"micro-enterprise."**

CAPITAL

What the firm OWNS

≈ your net worth.

Recorded by the registry but **ignored** by the small-business label.

This is where the inequality hides.

Two firms with the same salary can have wildly different net worth.

THE PUZZLE

Same salary. 100× the net worth. Same legal box.

FIRM A — the corner bakery

Revenue ("salary"): 350,000 BRL

50,000 BRL

declared capital ("net worth")

Legal status: micro-enterprise

FIRM B — wealthy investor's holding

Revenue ("salary"): 350,000 BRL

**5,000,000
BRL**

declared capital ("net worth")

Legal status: micro-enterprise

Same regulatory box. Same tax treatment. Same eligibility for small-business credit.

Three questions. Each one hands its answer to the next.

Q1

Is wealth this concentrated everywhere — or just in small firms?

Is this a small-business pathology, or universal?

Q2

Beyond size, does WHO owns the firm change the picture?

Sole owner, working partner, or silent investor?

Q3

How do wealthy firms end up labeled "micro"?

Through which legal channel?

PART I

Wealth is concentrated everywhere.

Not just in small firms. Same shape, every size.

Lead author: Zhijun He

Wealth is concentrated everywhere.

Three size tiers. Three near-identical levels of extreme concentration.

MICRO

96%

held by the top 1% of firms

87% by top 0.1%

SMALL

99%

held by the top 1% of firms

91% by top 0.1%

MEDIUM/LARGE

99%

held by the top 1% of firms

96% by top 0.1%

Gini = inequality score: 0 = perfectly equal, 1 = one firm owns everything. *All three tiers score above 0.98 — "extreme."*
Micro-enterprises are NOT uniquely unequal.

Same shape, every tier.

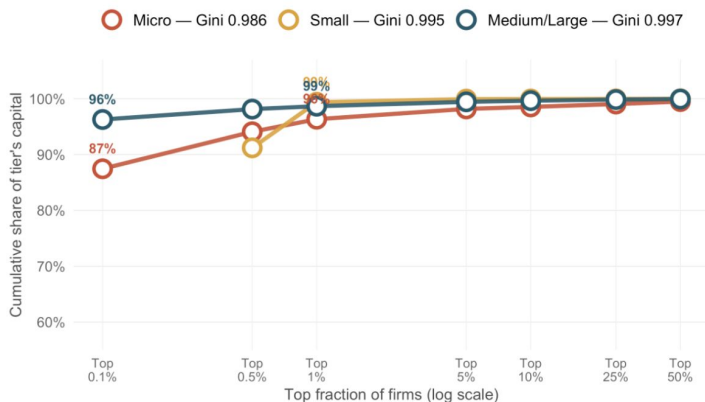
Top 1% of firms hold nearly all the capital — at every size.

Capital concentration is near-total in every Brazilian firm-size tier

All three tiers exhibit Gini > 0.98 with the top 1% holding 96–99% of capital. 'Micro-enterprise' is not uniquely unequal — the same power-law structure sits behind every regulatory category.

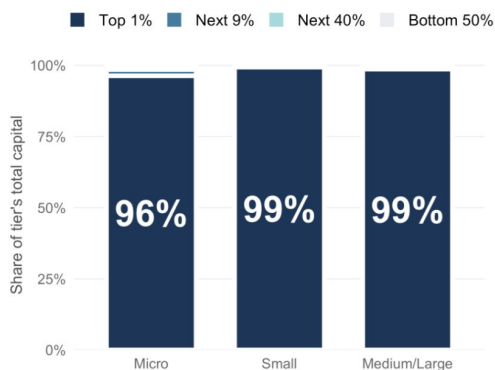
(A) Even the top 0.1% holds the majority of every tier's capital

Three near-identical curves — concentration is universal across tiers



(B) Top 1% holds 96–99% in every tier

The remaining 99% of firms is barely a sliver



Source: Brazilian CNPJ Registry · TidyTuesday 2026 Wk 4 (Extended) · Boyd, He & Miao · 2026-02-25

Figure 2.1: Capital concentration is near-total in every Brazilian firm-size tier.

WHAT THIS MEANS

The dark bar is the top 1%.

Everyone else — the gold, teal, and gray — is barely visible.

The bars look the same in every tier.

PART II

Who actually owns it?

If size doesn't tell us — does ownership type?

Lead author: Jerry Miao

Three owners. Three different stories.

We classified every firm by who's legally in charge. Three patterns emerged.

Sole Entrepreneur

the one-person shop

FLAT — DOESN'T SCALE

Their net worth stays around 300k BRL whether their firm is tiny or large.

300k → 300k

Managing Partner

the active business partner

CLIMBS WITH SIZE

Their net worth grows 3.3× as the firm grows. Active operators accumulate wealth.

300k → 1M

Beneficial Owner

the silent investor behind the firm

MOSTLY TINY — BUT WITH GIANTS HIDING

Most are small. But a minority are massive — the average is 80× the median.

80× the median

Only the active partners scale.

Median capital across firm-size tiers, by ownership archetype.

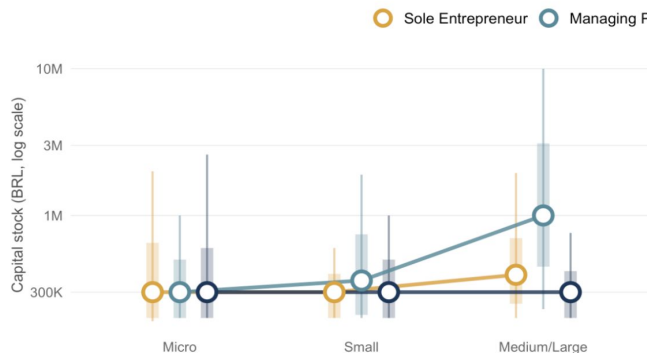
Managing Partners scale the median; capital tails migrate across archetypes

Capital distribution by owner archetype within each firm-size tier. Panel A: median trajectory with middle 80% range.

Panel B: mean + median ratio captures tail heaviness — BO carries the tail at Micro; MP carries it at Medium/Large.

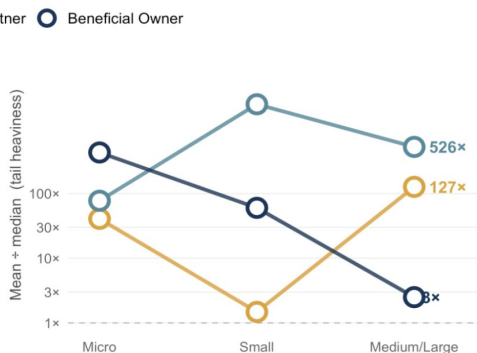
(A) Median capital with IQR (thick) and P10–P90 (thin)

Only Managing Partners scale upward across tiers



(B) Mean-to-median ratio

Tails are heavy in every cell, but the carrier shifts across tiers



Source: Brazilian CNPJ Registry · TidyTuesday 2026 Wk 4 (Extended) · Boyd, He & Miao · 2026-02-25

Figure 3.1: Governance shapes the capital distribution differently across archetypes.

WHAT YOU CAN'T SEE

The Beneficial Owner line

(coral)

looks flat — like Sole Entrepreneurs. But hidden inside that line are **a few giants** with massive capital, dragging the average to **80x the median** at the Micro tier.

These are the firms we want to find.

PART III

How do they sneak in?

Through which legal channel does a wealthy firm end up labeled "micro"?

Lead author: Paxton Boyd

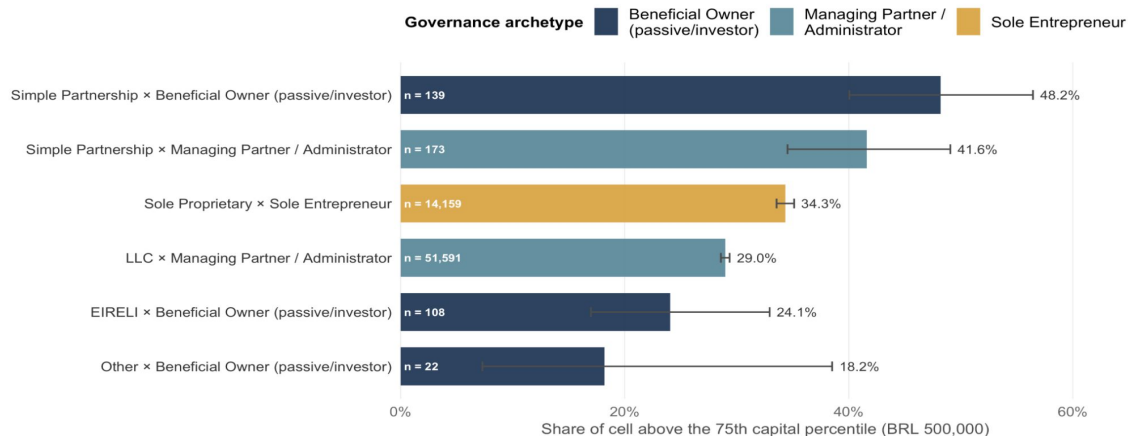
The loophole is a partnership.

"Capital-rich micro" = a firm legally classified as "micro" but with capital above 500,000 BRL (*the top 25% of micros*).

The micro-enterprise escape profile is a partnership with a passive equity holder

Share of capital-rich micros (>BRL 500k) by legal form × governance cell. Error bars = Wilson 95% CI.

Cells with n < 20 excluded. Counts shown in white.



Source: Brazilian CNPJ Registry · TidyTuesday 2026 Wk 4 (Extended) · Boyd, He & Miao · 2026-02-25

Figure 4.1: Capital-rich-micro share by legal form × governance combination.

THE SURPRISE

Brazilian policy debate blames EIRELI (*the one-person LLC*).

But EIRELI sits at 28% — **BELOW** LLC, **BELOW** Sole Proprietorship.

The real channel: partnerships with silent investors.

Partnership form + silent investor = the holding-company fingerprint.

Revenue alone can't see the structure.

1

Inequality isn't a small-business problem. It's everywhere.

Top 1% holds 96–99% of capital — at every firm size.

2

WHO owns the firm changes the picture more than HOW BIG it is.

Sole proprietors don't scale. Partners do. Silent investors hide in the tail.

3

Wealthy firms enter the "small" box through partnerships, not by being small.

Partnership × silent investor = 48% capital-rich. EIRELI is a red herring.

The data already exists. Brazil's registry records legal form and ownership at every firm's registration — at zero extra cost. *The categories just aren't being used.*

Thank you.

Questions?

Zhijun He · Jerry Miao · Paxton Boyd

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